GOVERNMENT OF INDIA

Ministry of Housing & Urban Affairs

Creating Sustainable, Inclusive, and Future-Ready Cities

Confidential and Proprietory

August 2026

SHRI NARENDRA MODI

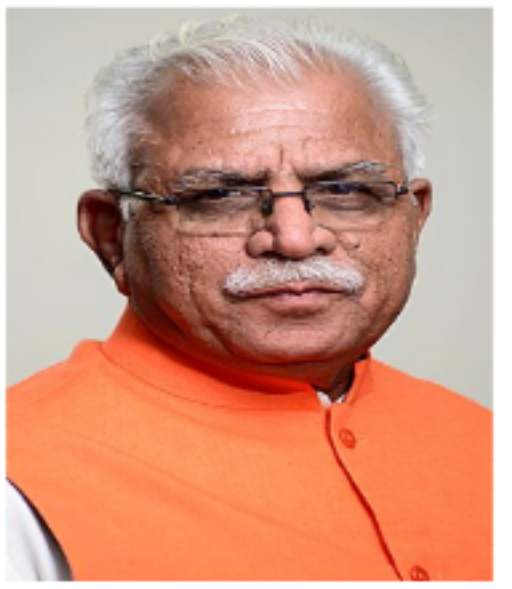
HONORABLE PRIME MINISTER, INDIA



MESSAGE

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SHRI MANOHAR LAL



HONORABLE MINISTER,

MINISTRY OF HOUSING AND URBAN AFFAIRS

MESSAGE

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SHRI MUNINDRA KUMAR

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA



MESSAGE

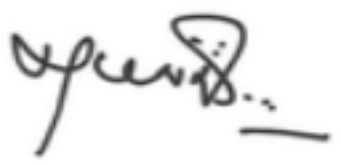
India's rapid urbanization presents unprecedented opportunities to build sustainable, inclusive, and future-ready cities that enhance the quality of life while driving economic growth. The Ministry of Housing and Urban Affairs plays a transformative role in shaping urban development through smart cities, affordable housing, modern infrastructure, urban mobility, sanitation, and sustainable planning initiatives.

The Chamber of Commerce and Industries of India (CCI India) remains committed to supporting the Ministry's vision of creating vibrant, resilient, and economically dynamic urban ecosystems. Through policy advocacy, investment facilitation, infrastructure partnerships, technology adoption, startup engagement, sustainable development initiatives, and capacity-building programmes, CCI India seeks to contribute towards accelerating urban transformation across the country.

This Knowledge Paper provides comprehensive insights into the Ministry's strategic priorities, urban development policies, flagship programmes, investment opportunities, emerging technologies, and collaborative pathways that can strengthen India's urban ecosystem. It explores opportunities across affordable housing, smart infrastructure, urban mobility, waste management, water systems, digital governance, green buildings, and climate-resilient urban planning.

Designed as a strategic resource for policymakers, urban planners, infrastructure developers, investors, technology companies, academic institutions, startups, financial organizations, and development agencies, the publication seeks to foster informed dialogue and collaborative action that supports sustainable urban growth and improved public services.

As India moves towards becoming an urban-driven economy, integrated planning, innovation, and strong partnerships will remain essential for building cities that are economically competitive, environmentally sustainable, and socially inclusive. CCI India looks forward to partnering with the Ministry of Housing and Urban Affairs in advancing India's vision of smart, sustainable, and citizen-centric urban development.



Munindra Kumar
Director General
CCI India

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Preface

Few ministries within the Government of India carry a mandate as physically visible, fiscally consequential, and demographically urgent as the Ministry of Housing and Urban Affairs (MoHUA). As the apex authority for urban policy, housing delivery, municipal finance, and city governance, MoHUA sits at the intersection of India's most defining structural transition: the movement of hundreds of millions of citizens from rural to urban life over the next two decades. The decisions taken within this Ministry today on housing finance architecture, municipal bond markets, urban mobility, sanitation infrastructure, and digital city governance will determine whether India's urbanisation becomes the engine of its developed-economy ambition or a constraint upon it.

India's cities already generate an estimated 63 per cent of national GDP from less than a third of the population, a contribution projected to rise toward three-quarters of GDP within the next decade as roughly 600 million additional residents move into towns and cities by 2036. This is not a distant projection it is a present-tense planning challenge. Meeting it requires an estimated USD 840 billion of cumulative urban infrastructure investment, financing instruments far beyond traditional budgetary support, technologically modern service delivery, and an institutional capacity for execution that the public sector cannot build alone. The national vision of Viksit Bharat @2047 a developed India by the centenary of its independence is, in large part, an urban infrastructure and urban governance project.

This Knowledge Paper has been prepared to serve a precise and practical purpose: to provide Union Ministers, Secretaries to the Government of India, NITI Aayog, senior bureaucrats, industry leaders, investors, multilateral development agencies, and international institutions with a structured, data-grounded, and strategically reasoned assessment of MoHUA's mandate, its institutional architecture, its progress and constraints since 2020, and most centrally the specific, differentiated avenues through which organised industry can be mobilised as an implementation partner to the Ministry's mission. It is written in the analytical register of a government advisory document rather than as a descriptive brochure: every section is constructed to generate a decision-relevant insight, not merely to recount information already in the public domain.

CCI India's vision in commissioning this paper is straightforward. As one of the country's longest-standing apex business chambers and India's only dedicated State Investment Business Chamber, CCI India views urban transformation not as a peripheral interest but as a core arena in which organised industry, investors, and innovators must engage directly with government through policy advocacy, investment facilitation, knowledge partnership, capacity building, and on-ground programme delivery. This paper sets out, section by section, where that engagement can be most productively focused, why the timing is right, and how a structured collaboration framework between MoHUA and CCI India can be operationalised at speed.

This document is intended for policymakers shaping the Ministry's forward agenda, for institutional partners evaluating where to direct technical and financial resources, and for investors and developers seeking a credible, evidence-based map of India's urban opportunity landscape. We hope it serves as both a strategic reference and an invitation to structured partnership.

Chamber of Commerce and Industry (CCI India)

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TABLE OF CONTENT

SHRI NARENDRA MODI **2**

HONORABLE PRIME MINISTER, INDIA *2*

SHRI MANOHAR LAL **3**

HONORABLE MINISTER,MINISTRY OF HOUSING AND URBAN AFFAIRS *3*

SHRI MUNINDRA KUMAR **4**

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA *4*

PREFACE **5**

ABOUT CCI INDIA **8**

SECTION 1: INTRODUCTION TO THE MINISTRY **9**

1.1 Constitutional and Federal Positioning 9
1.2 Institutional Mandate 9
1.3 Evolution of the Ministry 9
1.4 Governance Role and Coordination Function 10
1.5 National Significance 10

SECTION 2: HISTORICAL TIMELINE OF THE MINISTRY **11**

SECTION 3: MINISTRY OVERVIEW & ORGANISATIONAL STRUCTURE **13**

3.1 Secretariat and Functional Divisions 13
3.2 Attached and Subordinate Offices 13
3.3 Autonomous and Statutory Bodies 14
3.4 Public Sector Undertakings 14

SECTION 4: STRATEGIC IMPORTANCE OF THE MINISTRY **15**

4.1 Economic Contribution and Multiplier Effects 15
4.2 Social Contribution 16
4.3 Employment Contribution 16
4.4 Global Significance 17

SECTION 5: SECTOR LANDSCAPE IN INDIA REAL ESTATE, CONSTRUCTION & URBAN INFRASTRUCTURE **17**

5.1 Market Size and Segment Structure 18
5.2 Industry Structure and Financing Instruments 18
5.3 Employment and Workforce Stakeholders 19
5.4 Future Outlook 19

SECTION 6: MINISTRY PROGRESS REVIEW (2020–2026) **20**

6.1 Budget Evolution 20
6.2 Flagship Scheme Performance Dashboard 21

SECTION 7: CURRENT LANDSCAPE ANALYSIS **22**

7.1 Major Achievements 22
7.2 Existing Challenges 23
7.3 Emerging Opportunities 24
7.4 National and Global Trends 24
7.5 Benchmarking with Leading Economies 25

SECTION 8: STRATEGIC NEED FOR CCI INDIA COLLABORATION **26**

8.1 Ecosystem Gaps 26
8.2 Execution Gaps 27
8.3 Market Failures Specific to Urban Infrastructure 27
8.4 The Case for Structured Public-Private Partnership Over Ad Hoc Engagement 27

SECTION 9: GAP ANALYSIS FRAMEWORK **28**

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SECTION 10: OPPORTUNITY ASSESSMENT MATRIX 30

SECTION 11: STARTUP & INNOVATION ECOSYSTEM ANALYSIS 32

11.1 Scale of the Underlying Startup Ecosystem 32
11.2 MoHUA-Specific Innovation Infrastructure 33

SECTION 12: STRATEGIC ROLE OF CCI INDIA 34

12.1 Industry Facilitator 34
12.2 Policy Advocate 35
12.3 Investment Promotion Partner 35
12.4 Startup Accelerator and Innovation Convenor 35
12.5 Knowledge Partner 35
12.6 Capacity Building Agency 36
12.7 Ecosystem Builder 36

SECTION 13: PROPOSED COLLABORATION FRAMEWORK 36

13.1 Strategic Objectives of the Framework 36
13.2 Governance Structure 37
13.3 Roles and Responsibilities 38
13.4 Public-Private Partnership Model 38
13.5 Coordination Mechanism and Centres of Excellence 39

SECTION 14: PROPOSED FLAGSHIP PROGRAMMES FOR CCI INDIA 39

Programme 1: National Project Preparation Facility for Urban Local Bodies 39
Programme 2: Municipal Disclosure & Bond-Readiness Initiative 40
Programme 3: CCI India Skill & Certification Centres for the Construction Workforce 40
Programme 4: Urban Innovation & PropTech Accelerator 40
Programme 5: Waste-to-Energy and Circular Economy Investment Platform 41
Programme 6: Centre of Excellence for Construction Technology & Materials (with BMTPC) 41
Programme 7: Affordable Rental Housing & Migrant Workforce Investment Initiative 41
Programme 8: Tier-2/3 City PPP Structuring Mission 42
Programme 9: Climate-Resilient Cities & Green Building Standards Programme 42
Programme 10: Global Investor & Development Finance Outreach Series 42

SECTION 15: INVESTMENT & FUNDING FRAMEWORK 43

15.1 Funding Architecture 43
15.2 Blended Finance as the Connective Layer 44
15.3 Sequencing Capital to Project Readiness 44

SECTION 16: STAKEHOLDER ENGAGEMENT MATRIX 45

SECTION 17: EXPECTED IMPACT ASSESSMENT 47

SECTION 18: FIVE-YEAR STRATEGIC ROADMAP (2026–2031) 49

SECTION 19: WHY CCI INDIA IS THE IDEAL STRATEGIC PARTNER 50

SECTION 20: STRATEGIC ACTION AGENDA & POLICY RECOMMENDATIONS 52

20.1 Immediate Priorities (0–6 Months) 52
20.2 Medium-Term Priorities (6 Months–2 Years) 53
20.3 Long-Term Priorities (2–5 Years) 53

CONCLUSION 54

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About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

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Section 1: Introduction to the Ministry

1.1 Constitutional and Federal Positioning

Urban development and housing occupy a distinctive position in India's constitutional architecture. Under the Seventh Schedule, “urban development” and “housing” fall primarily within the State List, and the 74th Constitutional Amendment Act of 1992 vested primary municipal governance authority in directly elected Urban Local Bodies (ULBs). MoHUA, therefore, does not function as a direct executing agency for most urban services; its constitutional role is that of a national policy architect, standard-setter, financier, and convenor operating through Centrally Sponsored Schemes, Central Sector Schemes, technical guidelines, and fiscal devolution mechanisms that influence, but do not command, state and municipal action. This federal design is the single most important structural fact for any organisation seeking to engage with the Ministry: influence runs through co-financing, technical assistance, and platform-building rather than through direct service delivery, and any partnership model including one with organised industry must be built to work within, and around, this three-tier federal structure.

1.2 Institutional Mandate

MoHUA's functional mandate, as defined in the Government of India (Allocation of Business) Rules, spans housing policy and finance, urban planning and metropolitan governance, municipal administration and finance, public health engineering and sanitation, urban transport (excluding railways), urban poverty alleviation, and the administration of Union Government civil works, estates, and built infrastructure through the Central Public Works Department (CPWD). This dual character as both an urban policy ministry and a public works and estates administrator distinguishes MoHUA from comparable ministries in education, health, or agriculture. It carries both a forward-looking developmental mandate (housing for all, smart and sustainable cities, water and sanitation security) and a custodial, asset-management mandate (the upkeep of Union government buildings, land, and estates across the country).

1.3 Evolution of the Ministry

The Ministry traces its lineage to the Ministry of Works, Housing and Supply, constituted in May 1952 to address post-independence reconstruction, slum clearance, and construction-material supply constraints. Over seven decades, its mandate bifurcated and recombined several times most notably the 2004 separation into a Ministry of Urban Development and a Ministry of Urban Employment and Poverty Alleviation (renamed Housing and Urban Poverty Alleviation in 2006), and their re-merger in 2017 into the present-day Ministry of Housing and Urban Affairs. Each reorganisation reflected a shift in national priority: from post-independence supply management, to slum rehabilitation and poverty alleviation, to since 2014 a mission-mode architecture built around flagship national programmes (Smart Cities Mission, AMRUT, Swachh Bharat Mission-Urban, Pradhan Mantri Awas Yojana-Urban) that channel central resources directly into measurable urban outcomes. Section 2 of this paper develops this evolution into a detailed institutional timeline; this section instead draws out what the evolution signals about how the Ministry is likely to organise its priorities going forward namely, around outcome-linked missions rather than departmental silos, a pattern that has direct implications for how an external partner should structure its engagement (mission-aligned verticals rather than ministry-wide generalist outreach).

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1.4 Governance Role and Coordination Function

- **Apex Coordination Authority:** MoHUA functions as the principal interface between the Union Government and approximately 4,000-plus statutory towns and Urban Local Bodies across 28 States and 8 Union Territories, harmonising national urban policy with sub-national implementation capacity that varies enormously from highly capacitated municipal corporations in Mumbai, Bengaluru, and Ahmedabad to severely resource-constrained smaller municipal councils. This coordination function matters strategically because it means the Ministry is structurally biased toward solutions that are replicable and standardisable across very different capacity environments, creating a persistent demand for capacity-building, training, and technical-assistance partners who can operate at this scale.
- **Standard-Setting and Regulatory Convenor:** Beyond scheme financing, the Ministry exercises an important soft-regulatory function: it issues model laws (the Model Tenancy Act, model building byelaws, the regulatory framework that underpins state-administered Real Estate Regulatory Authorities), national missions cutting across ministries (the National Urban Digital Mission, jointly steered with the Ministry of Electronics and Information Technology), and technical codes through bodies such as the Central Public Health and Environmental Engineering Organisation. This convening role gives the Ministry outsized influence relative to its direct budget, since a single model code or digital standard, once adopted nationally, can reshape an entire sector a high-leverage point for any institution seeking systemic rather than project-by-project impact.
- **Cadre-Controlling and Technical Custodianship:** MoHUA is the Cadre Controlling Authority for CPWD's engineering and architectural services, giving it direct institutional command over one of the largest technical workforces in the Union Government and direct oversight of public infrastructure delivery standards. This technical custodianship is a frequently overlooked asset: it means the Ministry, through CPWD and its technical wings, possesses in-house execution capacity that can be paired with private-sector innovation in materials, digital project management, and sustainable construction an underexploited channel for structured industry engagement that operates quite differently from the scheme-based missions most external stakeholders default to.

1.5 National Significance

The Ministry's significance is best understood not through its budget size alone which, as later sections show, is modest relative to the scale of the urban transition but through its position as custodian of the policy and financing architecture for what is, in effect, the largest and fastest urban migration occurring inside a single democratic federal system anywhere in the world today. Whether India's cities become engines of inclusive growth or sites of compounding infrastructure deficit, congestion, and informality is substantially a function of decisions made within this Ministry's policy remit, even where implementation sits elsewhere. For an organisation such as CCI India, this translates into a foundational strategic premise: engagement with MoHUA is not a sector-specific industry relationship of the kind a chamber might have with a single-sector ministry it is an engagement with the central nervous system of India's spatial and economic transformation, with downstream relevance to construction, real estate, finance, technology, sanitation, mobility, and municipal governance simultaneously.

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